

52. Under-value must be fraudulent to render the lease impeachable. — In considering the question of value it must be remembered that the case of a charity estate is one in which of all others, the *security* of the rent is the first point to be regarded, and therefore the inadequacy of the amount reserved is less a badge of fraud in this than it would be in almost any other instance (*b*). And Lord Eldon desired it might not be considered to be his opinion that a tenant who had got a lease of charity lands at too low a rate with reference to the actual value was therefore to be turned out, if it appeared he had himself acted fairly and honestly. The only ground for so dealing with him would be some *evidence* or *presumption* of collusion or corruption of motive (*c*).

53. Compensation for the under-value. — When leases are set aside for under-value and the Court awards a *compensation* to the charity for the loss which has been sustained by the charity through the collusion of the trustees and the tenant, the burden will fall upon the trustees or the tenant according to the circumstances of the case (*d*). For whatever length of time renewals of leases of *charity* lands upon payment of fines certain may have been granted, and though in pursuance of a scheme settled by the Courts, the tenants have gained no right, and cannot insist upon any further renewals (*e*). But if money has been laid out in improvements upon the faith of renewals, and the lessees have not been recouped their outlay by any subsequent enjoyment of the property, the Court, in the charity scheme, will have regard to their claims (*f*).

54. Unreasonable extent of the lease. — A lease of charity lands may also be invalidated on the ground of the *unreasonable extent of the term*. The duration of the lease should be such only as is consistent with the fair and provident man-

ney-General v. Greenhill, 33 Beav. 193.

(*b*) *Ex parte* Skinner, 2 Mer. 457, per Lord Eldon.

(*c*) *Ex parte* Skinner, 2 Mer. 457.

(*d*) See Duke, 116; Poor of Yervel v. Sutton, Id. 45; Attorney-Gen-

eral v. Mayor of Stamford, 2 Sw. 592, per Cur.; Attorney-General v. Dixie, 13 Ves. 540; Rowe v. Almsmen of Tavistock, Duke, 42.

(*e*) Attorney-General v. St. John's Hospital, 1 L. R. Ch. App. 92.

(*f*) S. C.